Strategic Sourcing Framework

Document Information

- **Document Number:** PROC-101
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1. Purpose

This document defines the strategic sourcing framework used by Acme Corporation to optimize the supply base, reduce total cost of ownership, and drive continuous improvement across all procurement categories.

2. Scope

This framework applies to all procurement categories including direct materials, indirect materials, capital equipment, professional services, IT, logistics, and facilities.

3. The Strategic Sourcing Process

The strategic sourcing process consists of seven phases:

Phase 1: Spend Analysis

The Category Manager shall conduct a comprehensive analysis of spend data across the category. The analysis shall include: - Total spend by supplier - Spend by business unit - Purchase history and trends - Price variance analysis - Maverick spend identification - Cost breakdown analysis

Phase 2: Market Analysis

Market analysis shall be conducted to understand the supply market, including: - Market structure and concentration - Key suppliers and market share - Pricing trends and drivers - Technology and innovation landscape - Regulatory environment - Supply chain risks and vulnerabilities

Phase 3: Sourcing Strategy Development

Based on spend and market analysis, the Category Manager shall develop a sourcing strategy that defines: - Category objectives (cost savings, quality improvement, risk reduction, innovation) - Sourcing approach (competitive bid, negotiation, sole source) - Supplier segmentation strategy - Timeframe and milestones - Resource requirements

Phase 4: Supplier Engagement

The sourcing strategy shall be executed through supplier engagement: - Request for Information (RFI) to qualify suppliers - Request for Proposal (RFP) for competitive bids - Request for Quotation (RFQ) for pricing - Supplier presentations and site visits - Negotiation preparation and execution

Phase 5: Evaluation and Selection

Supplier proposals shall be evaluated using a weighted criteria matrix. Typical evaluation criteria include: - Total cost of ownership: 35% - Quality and technical capability: 25% - Delivery and service: 15% - Innovation and continuous improvement: 10% - Sustainability and ESG: 10% - Financial stability: 5%

Phase 6: Negotiation and Contracting

Final negotiations shall be conducted with the selected supplier(s). Key negotiation objectives include: - Optimal pricing and cost structure - Favorable payment terms - Robust SLA commitments - Risk sharing mechanisms - Continuous improvement commitments

Phase 7: Implementation and Transition

The new contract or agreement shall be implemented with a transition plan including: - Contract execution and documentation - Supplier onboarding - Internal stakeholder communication - Performance baseline establishment - Transition timeline management

4. Category Management

4.1 Category Structure

Spend is organized into the following categories: - **Direct Materials:** Raw materials, components, packaging - **Indirect Materials:** MRO, office supplies, lab supplies - **Capital Equipment:** Machinery, vehicles, IT hardware - **Professional Services:** Consulting, legal, training - **IT:** Software, cloud services, hardware - **Logistics:** Freight, warehousing, distribution - **Facilities:** Maintenance, utilities, construction

4.2 Category Strategy

Each category shall have a documented strategy updated annually. The strategy shall be approved by the Category Management Director.

4.3 KPI Framework

Category performance shall be measured using KPIs: - Cost savings delivered vs target - Supplier performance score - Contract coverage percentage - Maverick spend percentage - Supplier diversity spend - Carbon footprint reduction

5. Supplier Relationship Management

5.1 Supplier Segmentation

Suppliers shall be segmented using the Kraljic Matrix: - **Strategic:** High profit impact, high supply risk (partnership) - **Leverage:** High profit impact, low supply risk (competitive) - **Bottleneck:** Low profit impact, high supply risk (secure supply) - **Non-Critical:** Low profit impact, low supply risk (efficient)

5.2 Strategic Supplier Program

Strategic suppliers shall participate in the Supplier Partnership Program, which includes: - Quarterly business reviews - Joint innovation initiatives - Executive sponsor program - Shared performance scorecards - Continuous improvement projects

6. Cost Reduction Methodologies

6.1 Cost Levers

The following cost reduction levers shall be evaluated: - Price negotiation - Volume consolidation - Specification optimization - Supplier competition - Process improvement - Should-cost modeling - Total cost of ownership analysis

6.2 Savings Validation

All cost savings shall be validated and tracked. Savings categories include: - **Hard Savings:** Direct cost reduction reflected in P&L - **Cost Avoidance:** Prevention of future cost increases - **Soft Savings:** Process efficiency improvements

7. Risk Management

7.1 Supplier Risk Assessment

Each category shall conduct annual supplier risk assessments covering: - Financial health - Geopolitical risk - Single source dependency - Regulatory exposure - ESG performance - Cybersecurity readiness

7.2 Business Continuity

Critical suppliers shall have business continuity plans. Alternative sources shall be identified for all single-source items.

8. Related Documents

- PROC-001: Procurement Policy Overview
- PROC-012: Vendor Qualification and Evaluation
- PROC-042: Contract Management Procedure
- FIN-002: Financial Risk Management